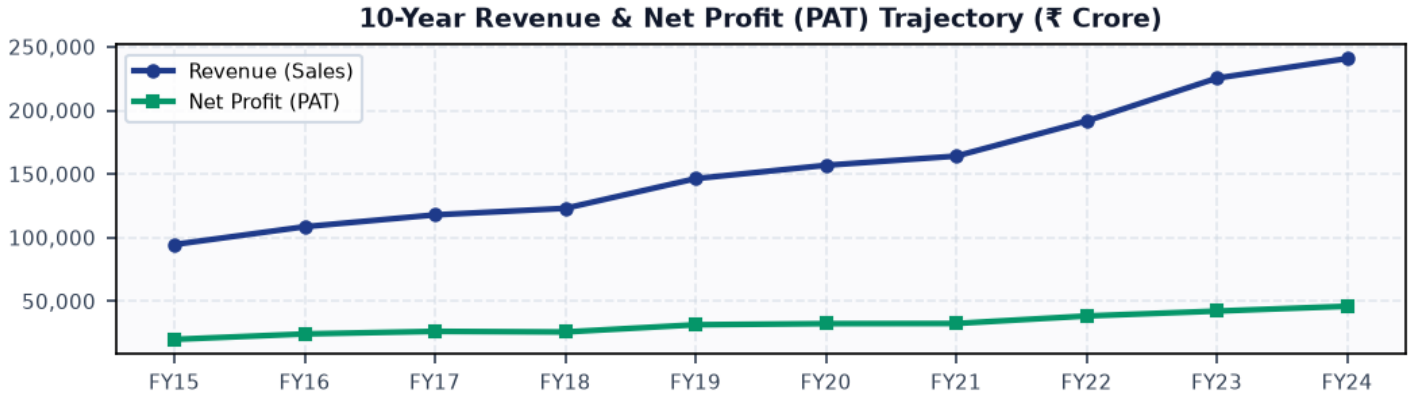
Tata Consultancy Services Ltd

NSE: TCS | **Sector:** Information Technology | **Peer Group:** IT Services

N100 INSTITUTIONAL TEARSHEET
Fiscal Reference: FY2024
Currency: INR (■ Crore)

RETURN ON EQUITY (ROE)	RETURN ON CAPITAL (ROCE)	DEBT TO EQUITY (D/E)
50.9%	**60.2%**	**0.09x**
▲ Above Sector Med (23.0%)	▲ Above Sector Med (27.1%)	▲ Low Leverage vs Med 0.09x

REVENUE CAGR (3YR)	COMPOSITE SCORE	OPERATING MARGIN (OPM)
13.6%	**66.0**	**26.7%**
▲ Above Sector Med (13.6%)	▲ Above Sector Med (60.1)	▲ Above Sector Med (22.0%)



▲ INVESTMENT MERITS & STRENGTHS (PROS)

- ✔ Company is almost debt free.
- ✔ Company has a good return on equity (ROE) track record: 3 Years ROE 47.4%
- ✔ Company has been maintaining a healthy dividend payout of 66.2%
- ✔ Conservative capital structure with Debt-to-Equity of 0.09x.

▼ RISK FACTORS & CONCERNS (CONS)

- ■ Stock is trading at 15.2 times its book value
- ■ The company has delivered a poor sales growth of 10.5% over past five years.
- ■ Sub-50 cash flow quality score (1/100) indicating working capital drag.

Peer Comparison, Valuation Multiples & Cash Flow Intelligence

Tata Consultancy Services Ltd (TCS) | Peer Group: IT Services

Company	ROE (%)	ROCE (%)	OPM (%)	D/E (x)	P/E (x)	3Y Rev (%)	Composite
HCLTECH	23.0%	27.1%	22.0%	0.08x	63.6x	13.4%	60.1
INFY	29.8%	32.9%	23.7%	0.09x	36.0x	15.2%	61.9
LTIM	22.9%	25.2%	18.0%	0.10x	64.5x	42.1%	59.2
★ TCS	**50.9%**	**60.2%**	**26.7%**	**0.09x**	**78.7x**	**13.6%**	**66.0**
TECHM	9.0%	9.2%	8.7%	0.10x	57.4x	11.2%	36.2

Valuation Multiple	Company	Sector Median	DCF Implied Value & Status
P/E Ratio	78.7x	63.6x	**Implied Value:** ■1,025,422 Cr (+122.3%)
P/B Ratio	6.1x	7.3x	**★ STATUS: UNDERVALUED (DISCOUNT)**
EV / EBITDA	29.9x	22.0x	Market Cap: ■461,188 Cr

Capital Allocation Pattern: Liquidating Assets | 5-Year Operating vs Investing vs Financing Cash Flows

